

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

**Samsung Electronics America, Inc.
v.
COSCO Shipping Lines Co. Ltd.**

**RESPONDENT’S OPPOSITION TO COMPLAINANT’S SUPPLEMENTAL MOTION
TO COMPEL**

Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”) respectfully submits this Response in Opposition to the Supplemental Motion to Compel Production (Doc. 123) filed by Samsung Electronics America, Inc. (“SEA”).¹ The Presiding Officer granted leave to SEA to supplement its Second Motion by email dated June 9, 2026 and directed COSCO to respond by June 16, 2026.

I. INTRODUCTION

Unable to make its affirmative case on the merits, SEA filed yet another motion to compel, seeking to require COSCO to search the files of seven or more custodians in China, produce irrelevant self-assessments and internal policies, and to submit an intrusive declaration about its “search methodology.” As set forth below, 1) COSCO has conducted a reasonable search in good faith, and SEA’s demand for additional custodians is cumulative and duplicative, would subject COSCO to an undue burden, and is not proportional to the needs of this action; 2) SEA is not entitled to the internal polices and self-assessments it seeks, and 3) there is no reasonable basis for

¹ To the extent SEA’s first and second motions to compel (Docs. 95 & 112) remain at issue, COSCO incorporates by reference (i) its Opposition to SEA’s First Motion to Compel (Doc. 102); (ii) its Motion to Supplement the Record (Doc. 107); and (iii) its Opposition to the Second Motion and Exhibits (Doc. 113). COSCO continues to oppose those motions.

the sworn declaration SEA seeks, which SEA refuses to similarly provide regarding its own search methodology. As has been the case in its other FMC proceedings, SEA's supplemental motion demonstrates a litigation strategy of delay and obfuscation.²

COSCO proposed to SEA that the parties resolve this motion by COSCO's agreement to voluntarily produce documents for two custodians in China whom SEA had requested, and SEA's withdrawal of the Motion. **Exhibit 1.** The parties are continuing to discuss COSCO's proposal.

Also, any order to compel would be counterproductive and result in further delay. As SEA does or should understand, if the Presiding Officer were to order COSCO produce documents from China, PRC law requires COSCO to first provide those documents to the PRC authorities for review and approval before production.

II. LEGAL STANDARD

SEA has the burden of proof on its motion.³ When evaluating a motion to compel, courts and agencies must consider the relevance of the information requested and "proportional[ity]." 7 Moore's Fed. Practice – Civil § 37[2][a]; 46 C.F.R. § 502.141(e)(2)(ii). "[A] motion to compel must be denied if," inter alia, "[t]he discovery sought is unreasonably cumulative or duplicative" or "[t]he discovery sought can be obtained from some other source that is more convenient, less burdensome, or less expensive." 7 Moore's Fed. Practice – Civil at § 37[2][d]; Fed. R. Civ. P. 26(b)(1); 46 C.F.R. § 502.141(e)(2)(ii)(A). "Courts do not demand perfection in responding to

² See, e.g., *Samsung Elec. Am., Inc. v. Orient Overseas Container Line Ltd.*, Dkt. No. 24-17 ("SEA v. OOCL"); *Samsung Elec. Am., Inc. v. HMM Co.*, Dkt. No. 24-23, SEA Mot. to Compel (Apr. 24, 2026)(Doc. 52); *Samsung Elec. Am., Inc. v. ZIM*, Dkt. No. 22-30 ("SEA v. ZIM"), Mots. to Compel (Docs. 15, 24)(March 23, June 1, 2023)(both denied).

³ *TZ SSE Buyer LLC v. COSCO Shipping Lines Co., LTD*, 2025 WL 1454511, at *4 (ALJ May 15, 2025); *Williams v. Ct. Servs. & Offender Supervision Agency*, No. 08-CV-1538 (RWR-AK), 2013 WL 12321547, at *2 (D.D.C. Mar. 25, 2013); *Alexander v. F.B.I.*, 186 F.R.D. 154, 159-60 (D.D.C. 1999).

discovery requests, particularly when it comes to the production of electronically stored information.” *Adidas Am., Inc. v. Thom Browne, Inc.*, 742 F. Supp. 3d. 352, 364 (S.D.N.Y. 2024). All that is required of parties is “a ‘reasonable search’ for documents in response to a request, not that they boil the ocean to ensure every potentially responsive item is produced.” *Id.* (citation omitted).⁴

III. ARGUMENT

A. SEA’s motion should be denied because COSCO conducted a reasonable, good-faith collection and production of documents, and discovery sought by SEA is cumulative, duplicative, unduly burdensome, and not proportionate to the needs of the case.

Acting on the no potential stone unturned theory, SEA demands that COSCO collect and search the files of seven or more additional COSCO China personnel. SEA’s demand should be rejected. COSCO conducted a reasonable collection and production in good faith, and SEA’s demands are cumulative, unduly burdensome, and not proportionate to the needs of the case.

COSCO searched the files and produced documents from 13 individual document custodians⁵ across the United States, China, and Korea likely to have relevant information, collected approximately 4.96 million documents and produced nearly 300,000 documents, totaling approximately 1.047 million pages. The COSCO custodians searched include, among others, all COSCO personnel the parties identified in their initial disclosures as persons likely to have discoverable information that they may use, including two custodians from COSCO’s Global Sales Division (“GSD”) in China, and a custodian from COSCO’s Shanghai Per Diem team (“SHAPD”) in China. *See* Lu Decl. (**Exhibit 2**); Xiang Decl. (**Exhibit 3**).

⁴ In connection with this filing, COSCO is filing a Motion to Accept Late-Filed Declarations, which are cited herein as Exhibits 2-5.

⁵ COSCO also collected and produced documents from shared non-custodial files of COSCO departments.

SEA's demand for additional custodians from COSCO's Global Sales Division and SHAPD is readily dismissed. SEA's assertion that additional custodians are justified because GSD and SHAPD had "decision-making authority" to waive or reduce detention charges is mistaken.⁶ Only COSCO's American Trade Division ("ATD") had and exercised the authority to waive or reduce those charges for standard containers carried to the United States.⁷ Furthermore, SHAPD is an intermediary; it gets information from customers who dispute detention charges, investigates or collates information about those disputes, and provides that information to ATD. **Ex. 2; Ex. 3.** SHAPD does not have authority to, and does *not*, waive or reduce charges. And as SEA concedes, COSCO produced communications between its custodians and SHAPD, and COSCO produced documents from SHAPD custodian Liu Shuang. Indeed, one SHAPD employee that SEA identifies as "key" (Doc. 123 at 8, n.13), Ms. Lu, did not deal with Samsung or SEA charges at all,⁸ and another, Ms. Gu, had no responsibility for disputes involving customer invoices.⁹

SEA is correct that COSCO's search did not include custodians from ATD, which decided whether COSCO would waive or reduce per diem charges to customers relating to standard

⁶ One custodian SEA demanded COSCO collect, Ms. Gu, had no responsibility for invoices COSCO issued to its customers. Gu Decl. (**Exhibit 4**). Neither Ms. Xiang nor Ms. Lu have "decision-making authority." **Ex. 2; Ex. 3.**

⁷ ATD's authority is limited to the Transpacific Trade. Shan Decl. (**Exhibit 5**). SEA misinterprets COSCO's responses to Interrogatory No. 1 of SEA's Fourth Set of Interrogatories. COSCO stated only that ATD, GSD, the North American Operations Center, and COSCO Shipping Korea Co., Ltd.'s Global Sales Division were "**involved in ... some resolutions or attempted resolution** of disputes concerning detention or demurrage charges"—not that each had "decision-making authority" (emphasis added).

⁸ **Ex. 2.**

⁹ **Ex. 4.** The lack of a response to a produced email does not establish that COSCO "withheld responsive documents." Doc. 123 at 6. The unanswered email was from COSCO custodian Tom Takase. Had there been a response, it would have been in his email, which COSCO searched and produced.

containers carried to the U.S. **Ex. 5.** Such a search is inappropriate now. The documents SEA seeks are not material. To obtain reparations for charges it paid, SEA must establish, on a case-by-case basis, the cause of delays and that COSCO was responsible for those delays specific to each container.¹⁰ COSCO's disapproval of a waiver request does not establish that COSCO was the cause of the delay. Also, as SEA admits, the ATD references that SEA cites appear in documents COSCO *has already produced*. Indeed, COSCO produced over 6,600 documents in which an employee of ATD is the sender or a recipient.

But the crucial point is that adding ATD (or other) custodians would be disproportionate to the needs of the case, and the marginal value, if any, of adding custodians is outweighed by the burden it imposes. COSCO is not required, as SEA would have it, to search the files of all “individuals with knowledge relating to per diem charges/disputes.”¹¹ Doc. 123, Ex. C-2 at 018-019 (May 26, 2026 email). Indeed, “the objective” of discovery limits imposed by the Federal Rules “is to guard against redundant or disproportionate discovery” even if on “otherwise proper subjects of discovery.” Advisory Comm. Notes to 2015 Am., Fed. R. Civ. P. 26. COSCO expended over \$804,000 to collect, review, process, and produce documents from three China custodians alone. Pan Decl. (**Exhibit 6**). There is no reasonable basis to require it to expend significantly more now.

¹⁰ *TCW v. Evergreen*, 2025 WL 516256, at *11 (reasonableness of demurrage and detention requires a case-by-case determination examining extenuating circumstances); *SEA v. SM Line*, Dkt. No. 23-01, Doc. 148 at 50, 2025 WL 2231637 (ID)(May 28, 2025) (reasonableness must be determined case-by-case and liability “turns on which party is at fault); *SEA v. ZIM*, Dkt. No. 22-30, Doc. 60, at 3, 70, 75, 88 (ID)(Apr. 22, 2025) (shipment-by-shipment analysis of cause of delays and fault required).

¹¹ SEA does not take the same view on discovery sought by COSCO. COSCO advised SEA that SEA failed to produce documents from persons who appeared to be intimately involved in the events at issue and proposed that the parties seek to reach agreement on additional custodians, if any, for each party. SEA refused to cooperate and wrote the Presiding Officer, seeking permission for SEA's supplemental motion.

Setting aside proportionality and burden, COSCO also proposed to SEA that COSCO would voluntarily add two ATD custodians demanded by SEA—Zhao RuiBo and Shan Yin—in return for SEA’s withdrawal of its Motion. *See Ex. 1*. SEA refused COSCO’s proposed resolution without additional explanation about why other custodians and information demanded by SEA are not included, but COSCO will attempt to confer further with SEA, indicating that SEA did not adequately attempt to resolve this dispute prior to filing its supplemental Motion.

B. The “missing categories” SEA demands are irrelevant and disproportionate.

SEA asserts COSCO has failed to produce divisional “policies and procedures” from China, “business performance self-assessments,” and “Demurrage Index Assessment Memorandum-GSD.” But SEA is not entitled to them.

First, SEA’s request is procedurally improper. Rule 150 requires a party moving to compel to include copies of the discovery requests it says called for the discovery and a “copy of the disclosure, answer or response in its entirety.” 46 CFR § 501.150(a)(2)(ii)-(iv). But SEA did not produce COSCO’s response in its supplemental Motion.

Second, the documents SEA seeks are immaterial. As SEA concedes, COSCO has produced numerous policies from North America. But, important here, SEA’s similar request in *SEA v. OOCL* was denied. Dkt. No. 24-17, Doc. 120 at 2 ¶ 6. There, the ALJ was “not persuaded regarding the relevance of *non-published policies*....” *id.* (emphasis added).

Nor is SEA entitled to COSCO’s internal analyses of its business performance. The documents it seeks are aggregate, policy-level, and financial-performance documents covering a wide range of matters (*see* Little Decl., Ex. E at Article 10) and are not relevant. Reasonableness turns on whether the consignee (SEA) was incentivized and able to take timely delivery of its cargo and return equipment on the specific shipments at issue—not on COSCO’s internal, financial self-

assessments. SEA's bald assertion that the documents are "critical" does not make them so, let alone establish that requiring COSCO to scour its business for performance-evaluation materials untethered to the shipment-by-shipment inquiry is proportional to the needs of this case.

C. SEA's one-sided demand for a sworn declaration regarding COSCO's "search methodology" is unreasonable and unfair.

For multiple reasons, COSCO reasonably declined SEA's one-sided demand for a sworn declaration describing the systems, custodians, search terms, and date ranges used to collect China-based documents. First, SEA could have sought to negotiate custodians and search terms when the parties negotiated their ESI Protocol, as is frequently done in complex litigation, but SEA did not. SEA's motion to compel on this basis is causing delay, and SEA's demand is too late.

Second, SEA's request for a declaration is vague, unduly burdensome, and not proportional to the needs of this case. To the extent that SEA is relying on its request from March 2, 2026 for an declaration from COSCO about search methodology, apart from information about "the process by which [COSCO] performed document searches in China in response to SEA's discovery requests, including the date ranges used, the custodians or systems searched, and search terms used," SEA requested "identification of all other potentially relevant custodians or systems during the January 1, 2020-December 31, 2022, timeframe." Doc. No. 123, Ex. C-1 (May 2, 2026 email). SEA did not clarify the vague terms "identification," "potentially," or "systems." Yet, it is obvious that comprehensively identifying "*all other potentially* relevant custodians or systems" in a document for SEA would require tremendous time and expense to complete.

Third, SEA's filing omits important context. SEA identifies only an email from March 2, 2026, requesting a declaration from COSCO. SEA raised this issue more recently in a May 26 email, to which COSCO responded, after SEA seemingly waived its request for nearly three months—again, SEA waited too long. *See Exhibits 7-8*. In response to SEA's renewed demand

for a sworn declaration, COSCO asked if SEA was prepared to provide its own declaration regarding SEA’s search methodology—as any such obligation should be reciprocal to be fair and proportional—but SEA refused, incorrectly asserting that COSCO’s inquiry was not made in “good faith” and “not relevant or necessary.” *See Ex. 7*. SEA’s one-sided demand, without a willingness to explain its own process, is unfair and unreasonable. *See Segar v. Holder*, 277 F.R.D. 9, 18 (D.D.C. 2011) (explaining “that discovery is proportionate,” and it is “antithetical” to that principle to “require one party to produce what the other party already has and to relieve that party demanding such action from first specifying what it does have and why it needs the rest”).

Fourth, the February 20, 2026 Order in *SEA v. OOCL* is inapposite here. COSCO did not refuse to make reasonable productions. In fact, COSCO offered to compromise and undertake additional burdensome steps to collect, process, and produce documents from two additional custodians. And, in contrast to SEA,¹² COSCO properly collected and produced documents from all custodians named in both parties’ initial disclosures, including COSCO custodians identified by SEA in its initial disclosures.

Finally, a declaration is not proportionate. The reasonableness of the charges at issue turns on a shipment-by-shipment, date-by-date, charge-by-charge inquiry, not on a forensic accounting of COSCO’s collection process. COSCO has collected, processed, reviewed, and produced a huge volume of documents and information already, and SEA should not be permitted to demand endless discovery, especially *discovery about the discovery process*.

D. Issuance of an order would result in unnecessary delay and would be contrary to principles of comity.

¹² SEA did not produce documents from Jeung Choi until April 16, after COSCO pointed out that SEA had not produced any documents from him, even though SEA identified Mr. Choi as an individual identified by SEA in its initial disclosures. Thus, there is good reason to question SEA’s search methodology.

As Chinese law expert Jihong Cheng of the Zhong Lun Law Firm (Beijing) stated in his declaration (previously filed with COSCO's Motion to Supplement the Record Related to Complainant's Motion to Compel):

If COSCO is ordered by ... the Presiding Officer in this action or the Federal Maritime Commission, to provide data stored within China to a person or entity outside PRC, it may under PRC law only comply with such an order after obtaining approval from competent PRC authorities.... Such review by PRC authorities has no statutory period and it is impossible to predict how long such review may take. That prior government approval requirement, however, generally is not triggered if COSCO were to provide personal information stored within the territory of the PRC to a recipient outside the PRC on a voluntary basis, rather than doing so pursuant to an order or request from a foreign judicial or law enforcement authority....

Doc. 107, Ex. 1 at ¶ 13.¹³ As a result, an order to compel would be counterproductive and result in further delay because it would trigger a mandatory and indefinite period of review by PRC authorities, adding to COSCO's burden. *Cf. Gilmore v. Palestinian Interim Self-Government Auth.*, 843 F.3d 958, 968 (D.C. Cir. 2016) (district court properly considered compliance with conflicting foreign law where information was located as a "burden").

COSCO is *not* stating that it would not attempt to comply with an order to compel production of additional documents from China. But COSCO cannot simply ignore or disregard PRC law. The apparent conflict with PRC law requires a comity analysis to warrant an order to compel, and any such order should be narrowly tailored,¹⁴ as COSCO discussed in its opposition to SEA's first motion to compel (Doc. 102) at 3, 7-9.

SEA does not even attempt to engage with the required comity analysis. Instead, SEA's strategy appears to be to overreach and drag out discovery—to make it as burdensome, expensive,

¹³ This evidence is undisputed by SEA: it has not provided any declaration of its own.

¹⁴ Certainly, any order to compel should not include documents from China that COSCO has already produced or additional documents that COSCO has agreed to voluntarily produce to SEA in an attempt to cooperate with SEA in good faith.

and difficult as possible for COSCO—to gain leverage and an unfair strategic advantage. That is evidenced by SEA’s failure to adequately attempt to resolve this dispute with COSCO before requesting an order to compel, as well as SEA’s refusal to clearly explain the need for, and to narrowly tailor, its demands. Instead, SEA seeks cumulative evidence based on speculation, ignoring principles of proportionality. SEA’s strategy is also evidenced by its similar conduct—demanding sanctions and making repeated requests to compel—in similar cases in the FMC. *See, e.g., SEA v. OOCL*, Dkt. No. 24-17, Doc. 139 (FMC) (denying SEA’s motion for sanctions and request for order to compel); *SEA v. SM Line*, Dkt. No. 23-01, Doc. 148 at 43, 2025 WL 2231637 (ID)(May 28, 2025) (rejecting SEA’s contention that SM Line acted in “bad faith” in discovery, in light of both parties’ conduct). SEA’s strategy and conduct appear to be inconsistent with fundamental tenets of discovery. *See, e.g.,* 46 C.F.R. § 502.6(a) (requiring that discovery not be “interposed for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation”).

IV. CONCLUSION

For the foregoing reasons, COSCO respectfully requests that the Presiding Officer deny SEA’s motions to compel, including its supplemental motion, in their entirety.

Dated: June 16, 2026

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CERTIFICATE OF SERVICE

I certify that on the 16th day of June, 2026, a true and correct copy of the foregoing document, Respondent's Response in Opposition to Complainant's Supplemental Motion to Compel, was served by email on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020.

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